INTRODUCTION

CHAPTER 1

[DETROIT BLIGHT REMOVAL TASK FORCE]

OUR MISSION. In September 2013, the Obama Administration announced a $300 million federal effort focused on working with the city to address key areas of importance, including blight removal, public works, and public safety.

DETROIT BLIGHT REMOVAL TASK FORCE CHAIRS:

GLENDA PRICE
PRESIDENT OF DETROIT PUBLIC SCHOOLS FOUNDATION

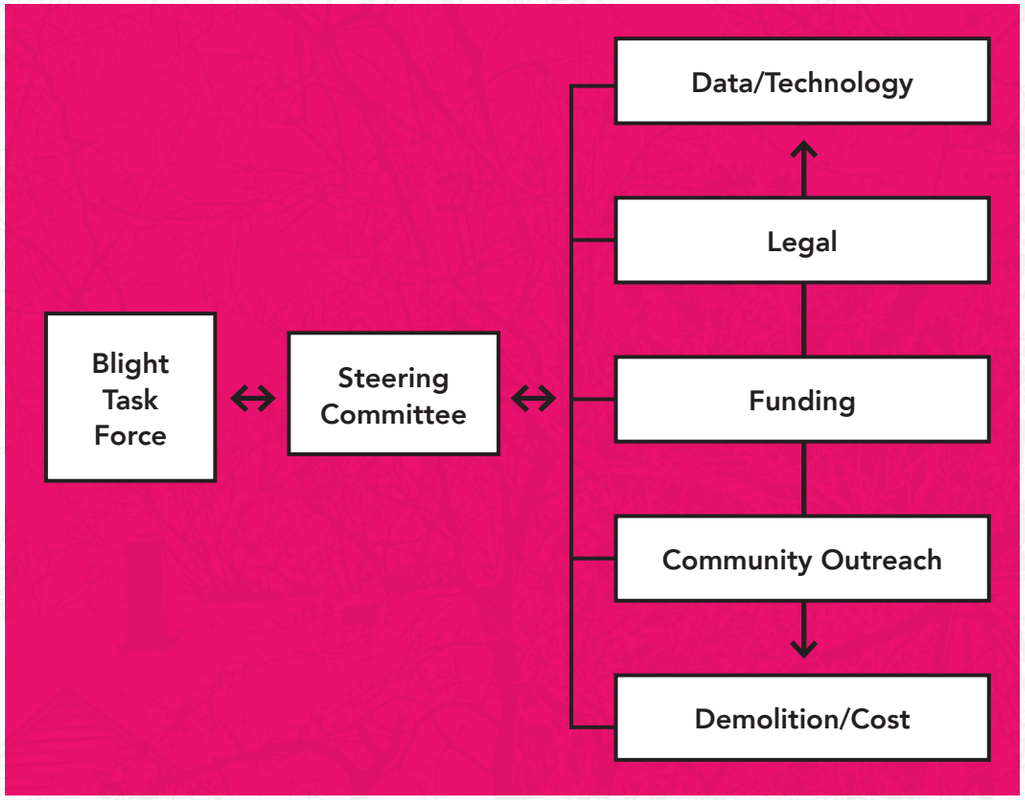
LINDA SMITH
EXECUTIVE DIRECTOR OF U-SNAP-BAC

DAN GILBERT
FOUNDER AND CHAIRMAN
ROCK VENTURES
QUICKEN LOANS

The Administration highlighted the need to involve both the private sector and the State to support and accelerate Detroit's revitalization. The creation of the Blight Removal Task Force (Task Force) was announced at the same time. The Task Force brought private, philanthropic, nonprofit, federal, and state partners together with the city, to develop a straightforward and detailed set of recommendations. The mission was to address every blighted residential, commercial, and public structure in the entire city as quickly as possible, as well as to clear every neglected vacant lot.

The Task Force created a larger working group (Steering Committee) with strategic partners from a broader background bringing the expertise, man-power, and perspective to research and curate the enormous amount of information needed to inform the Task Force.

This unprecedented public-private partnership is an essential step in building strong neighborhoods. Clearing and removing blight will encourage residents by showing visible signs of progress, which will restore hope and inspire residents to stay and take part in their neighborhood's future. Our recommendations promote the transparent public exchange of information, the creation of economic opportunities for Detroit residents, and the detailed and environmentally conscious strategies to address blight.



The Task Force created five sub-teams comprised of members of the Steering Committee to research and report back on the five major areas depicted in the diagram above.

The Steering Committee consisted of representatives from the following entities:

Center for Community Progress

City of Detroit

Office of the Emergency Manager, City of Detroit

Data Driven Detroit

Detroit Land Bank Authority

DTE Energy

Loveland Technologies

Michigan Nonprofit Association

Michigan State Housing Development Authority

New Hope Community Development

Rock Ventures Family of Companies

The Kresge Foundation

The Skillman Foundation

US Department of Housing & Urban Development

US Department of Treasury

A NEW DYNAMIC FOR DETROIT

The Task Force commenced its work in September 2013, six months after Michigan Governor Rick Snyder named Kevyn Orr the Emergency Manager (EM) for the City of Detroit, and two months before Mike Duggan was elected Mayor. Even before assuming office in January 2014, the Mayor had set the tone for a strong step towards addressing every neighborhood in Detroit, saving as many structures as possible, and strongly supporting residents in their work to protect their homes and strengthen their communities. In August 2013, Mr. Duggan introduced *Every Neighborhood Has a Future 10-point Plan*. This was the Mayor's strategy to restore Detroit as a great place to live and work.

The Task Force conducted its work as the Mayor's office was simultaneously and aggressively pursuing neighborhood-saving interventions, including some that are supported and emphasized in this report.

Highlights of the mayor's plan launched in recent months include:

- **The Establishment of the Department of Neighborhoods,** providing the foundation for coordinating cross-agency actions and supporting much more consistent and transparent communication between the city and its residents than ever before;
- **Re-energizing the role of the Detroit Land Bank Authority (DLBA)** as a strong agent for preservation, revitalization, and transformation of blighted properties in Detroit through a range of interventions, from stabilization of structures and returning them to private ownership to removal of hazardous conditions and dangerous buildings;
- **Strong leadership to realize the vision of Detroit Future City,** especially through the newly established cabinet position for Jobs and Economic Growth;
- **Prioritization of Blight Removal through a range of approaches,** from management of the Hardest Hit Fund Program to reawakening Detroit's code enforcement and nuisance abatement programs;
- **Investment in a unique partnership between the City of Detroit and the DLBA,** including the new BuildingDetroit.org website and other approaches to encouraging renewal and resident investment;
- **Establishment of special programs to assist responsible homeowners,** such as the program to offer $1 million in forgivable home improvement loans to new homeowners in the Marygrove University area; and
- **Numerous efforts to reform city and state legislation,** not only to address blight and crack down on irresponsible property speculators and owners, but also to support neighborly actions such as community boarding, while closing loopholes that reward property theft in the form of scrap metal stripping, or that turn a blind eye to squatting and other illegal practices.

"SOMEONE ACTUALLY TOOK A LOT OF TIME TO BUILD THAT HOUSE, AND THEY BUILT IT WITH A FAMILY IN MIND."

Alexis Wiley, spokesperson for Mayor Duggan

GUIDING PRINCIPLES

The work of the Task Force directly supports the Mayor's vision of a future for every neighborhood. The goal of blight removal is to build strong neighborhoods. Many homes in Detroit are structurally sound, often with beautiful architecture and wonderful features, yet they sit abandoned today because of the blight that surrounds them. **When homeowners feel that there is no hope for their neighborhood's future, they just leave.** To reverse this trend, it is urgent that we dramatically speed up the process of demolishing the vacant buildings that cannot be saved. For this reason, the Task Force set out to provide the City of Detroit with a blight removal strategy that leverages all the existing resources in Detroit as well as introduces new recommendations to create an efficient, scalable, cost effective, and environmentally safe methodology.

This monumental effort is going to take a village. To rebuild this city, it will be necessary for unprecedented leadership and cooperation from the city, Council, Wayne County, the State of Michigan, the private sector, non-profit partners, the Feds, community leaders, and residents.

Eliminating all blight from Detroit is an enormous task, but Detroiters have the inventiveness, grit, and resiliency to get it done. Everyone within city agencies, private business, charitable and cultural organizations, and each resident has a stake and a role in accomplishing this mission. We all must do our part in getting rid of the blight and disinvestment that has held Detroit back from its full potential. We all must help ensure that our city will never experience such neglect again.

With this in mind, the Task Force developed the following set of fundamental principles to guide our work. These principles provide the foundation for our strategy to achieve our mission of a blight-free Detroit.

DO THE RIGHT THING

1. **Focus on what matters to Detroit and to Detroiters.**
2. **Treat every street as if you lived there.**
3. **Streamline, but don't shortcut.**
4. **Ask yourself, "How will this action or choice help break the blight cycle?"**

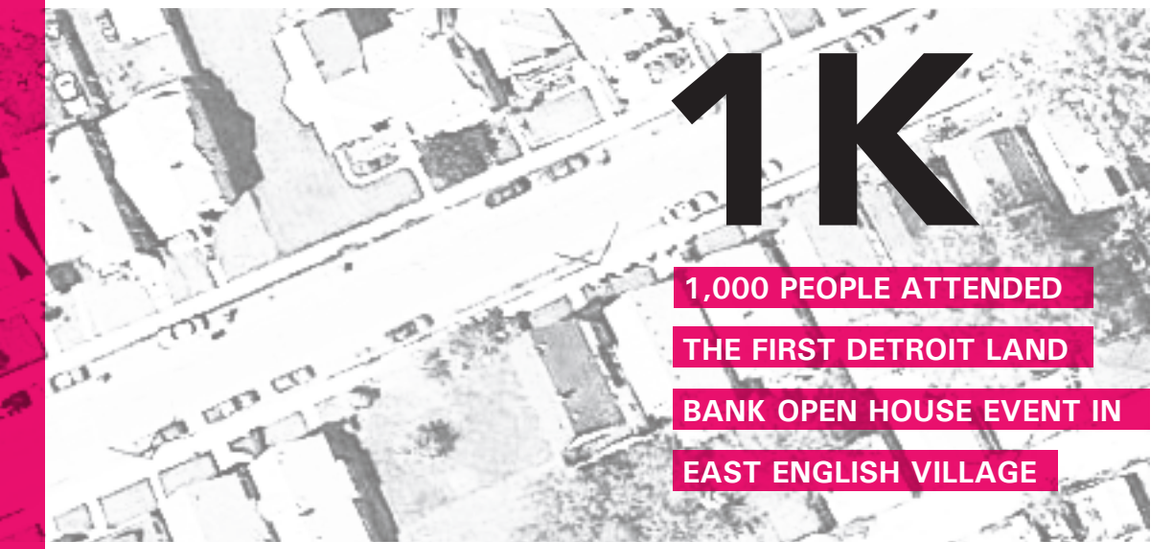
STRATEGY, URGENCY, CREDIBILITY

1. **Align anti-blight efforts with the broader visions for the future of the city and neighborhoods.**
2. **Work from a shared strategy.**
3. **Use the best-available technology that provides real-time information about Detroit's conditions; continue to build it, use it, improve it.**
4. **Be inventive, resourceful, responsive, and obsessive about finding a better way. Don't be afraid to try something that is untested.**
5. **Acknowledge the problems within this ambitious effort and learn from them.**
6. **Measure progress; celebrate success.**
7. **Believe it and then you will see it.**

CRITICAL FACTORS

The Task Force believes that we must rebuild our neighborhoods to make Detroit strong again. We must retain and attract residents, revive community businesses, and address Detroit's neighborhoods block by block and house by house.

A balanced approach is key to rebuilding and reviving our neighborhoods. It is imperative that all blight be removed to create the right environment and market conditions for successful rehabilitation of other homes and even new construction.



Another factor critical to successful neighborhood revitalization is the balance of input and decision making between government agencies and communities. The Detroit Land Bank Authority (DLBA) and the City of Detroit Department of Neighborhoods must continually gather the best possible insights for addressing blight from residents, and apply that information to shape the best solutions for all Detroiters.

Our city has more than 700,000 residents. We need to ensure that multiple communication venues are available to create an ongoing, two-way blight dialogue.

When a neighborhood is plagued with blight, the viable homes will soon become empty, too. No one knows this better than the residents. Reversing that trend will require a real urgency for coordinated dialogue and planning to implement the blight-fighting strategies laid out in this report. While there are many aspects of neighborhood revitalization, the scope of the Task Force effort focuses on removing blighted structures and clearing vacant parcels.

In spite of the massive challenge ahead of us, there is a growing demand from people who want to buy vacant homes in recovering neighborhoods, as evident by the strong interest at the first Detroit Land Bank Authority auction in May 2014.



PLAN HIGHLIGHTS

Early on, the Task Force realized there was no comprehensive, single database that accurately defined the current scope of blight in Detroit.

As a result, in November 2013, the Task Force, in partnership with Michigan Nonprofit Association, Data Driven Detroit, and Loveland Technologies, conducted a physical survey that gathered property condition data for all 380,000 parcels in the entire city. The goal of the MCM survey was to create a comprehensive database of detailed information including the condition of each and every property in the city. The process is designed to be scalable, repeatable, and updateable to ensure that relevant data will be available for policy makers both now and in the future.

The information was collected via a mobile application in a process nicknamed "Blexting," (a combination of *blight* and *texting*) that built on the 2009 Detroit Residential Parcel Survey (DRPS). At that time, the 2009 survey was the first of its kind, conducted by the public-private Detroit Data Collaborative, a team effort by the Detroit Office of Foreclosure Prevention and Response, Michigan Community Resources, University of Michigan Ginsburg Center, and Data Driven Detroit. The MCM survey expanded on the 2009 survey to include the 135,000 non-residential parcels.

Over a period of ten weeks, a team of more than 150 resident surveyors and volunteer drivers were assigned to quarter-mile squares (nicknamed "microhoods") to document property conditions within each defined area. The surveyors photographed the front of each property and answered a series of specific questions related to the condition of the property. The surveyors' feedback included observations on data points such as occupancy, lot vacancy, fire damage, presence of dumping, and the nature and use of the property (residential, commercial, etc.) Once the surveyor completed the series of questions, the information was instantaneously uploaded via a live-stream feed to survey mission control, where associates performed a check on all data submitted from the field.

150 RESIDENT SURVEYORS AND VOLUNTEER DRIVERS WERE ASSIGNED TO "MICROHOODS"

The Task Force leveraged the MCM field survey data and 24 additional datasets to create the definition of blight used for this report.



BLIGHT IS…



…a public nuisance.



…an attractive nuisance.



…fire damaged or is otherwise dangerous.



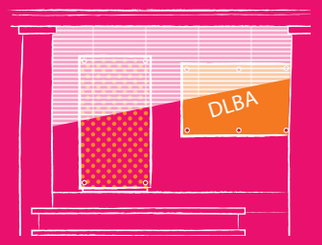
…has code violations posing a severe and immediate health or safety threat.



…open to the elements and trespassing.



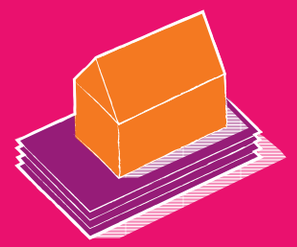
…already on Detroit's BSEED Demolition list.



…owned or is under the control of a land bank.



…has had the utilities, plumbing, heating or sewerage disconnected, destroyed, removed, or rendered ineffective.



…a tax-reverted property.



…has been vacant for 5 consecutive years, and not maintained to code.

DEFINING BLIGHT. The Task Force's definition and methodology for classifying property as "blight" incorporates the concepts of physical blight, economic blight, the public's interest in protecting the health, safety, and general welfare of people in its communities, and the preservation of property values. Michigan law defines a **blighted property** as one that meets any of the following conditions as determined by the applicable "governing body":

- A public nuisance
- An attractive nuisance (yes, an oxymoron! See below…)
- A fire hazard or is otherwise dangerous
- Has had the utilities, plumbing, heating or sewerage disconnected, destroyed, removed, or rendered ineffective
- A tax-reverted property
- Owned or is under the control of a land bank
- Has been vacant for five consecutive years, and not maintained to code
- Has code violations posing a severe and immediate health or safety threat

Using the State of Michigan's definition of "blighted property" as a starting point, the Task Force added elements from the Detroit Ordinance governing "dangerous buildings." The Task Force's definition includes properties that are:

- Open to the elements and trespassing, and
- On Detroit's Buildings, Safety Engineering, and Environmental Department (BSEED) Demolition list.

Accordingly, properties that are exposed to the elements, are not structurally sound, are in need of major repairs, are fire damaged, or have essentially been turned into a neighborhood dumping ground, were classified as "blight" by the Task Force. While the Task Force recognizes that there are other aspects that border on any reasonable definition of blight such as graffiti, un-manicured boulevard grass and litter, the scope of this report addresses blight based on the Task Force definition.

In addition to identifying structures and lots that met the Task Force definition of "blight," we identified other properties which possessed indicators of becoming future blight ("blight indicators"). Properties with "blight indicators" are those structures which did not meet our definition of "blight," yet had the following characteristics:

- Were unoccupied and/or abandoned, or
- Were publicly owned by local or state authorities, or owned by Government Sponsored Entities (such as Fannie Mae and Freddie Mae),

While a small minority of these properties may appear in fair condition today, there is a high probability that they will become blight in the near future and need to be removed. The Task Force recommends the approach of further inspection, data gathering, and analysis to determine the appropriate intervention.

The Motor City Mapping (MCM) field survey identified vacant lots showing evidence of significant dumping that need immediate attention. These parcels are considered an attractive nuisance and therefore meet the Task Force definition of blight.

MAXIMIZING COMMUNITY IMPACT. The MCM project produced an unprecedented property level database that not only defines the scope of blight in Detroit, but also provides critical data to assist in the overall prioritization of property intervention efforts.

By combining MCM data with additional indices about property ownership and condition, neighborhood occupancy (focused specifically on the number of children under 18), housing market activity, and foreclosures, Data Driven Detroit was able to design the Maximizing Community Impact (MCI) tool. The goal of MCI is to identify Detroit geographies that are at a "tipping point" – areas within the city where immediate intervention has the best odds of preserving neighborhood stability, attracting new investment, and improving the quality of life for the greatest number of Detroit residents.

The Task Force believes blight removal and rehabilitation in Detroit must occur in geographic areas of concentration, rather than the scattered, sometimes random, approach of the past. Addressing neighborhoods with holistic solutions stops the cancer (blight) from spreading, treats it, and then creates a strong base for the future. The MCI tool creates this geographic road map for the city and the DLBA. By focusing on the initial areas identified by MCI, over 193,000 residents (or 27% of the total Detroit residential population) will be positively impacted by neighborhood intervention.



ENHANCED TOOLS. Once geographies are determined, block-by-block and parcel-by-parcel analysis and action must be taken. Parcel level analysis and actions include:

- Gaining legal authority to access the site
- On-site analysis of the structure or lot
- Determining appropriate intervention
- Completing intervention
- Placing liens or acquiring title to recoup costs of intervention activities

The Task Force strongly supports the Mayor's program of using common law nuisance abatement actions to acquire title to blighted properties prior to any intervention. This approach reduces the overall timeline to complete all of the actions listed above by one to three years. If for some reason, a private property falls outside the scope of nuisance abatement then the city should create specific demolition judgment liens that trigger an expedited foreclosure process.

REMOVING BLIGHT. While the Task Force realizes that the DLBA will need to utilize several interventions to revitalize a neighborhood, the focus of this report is on removing blighted structures and clearing blighted vacant lots. Because certain types of structures have similar characteristics for removal, we have grouped the various structure categories into two for purposes of removal recommendations:

- Neighborhood Structures, including all residential structures and commercial structures smaller than 25,000 square feet in lot size; and
- Large-Scale Commercial Structures, including commercial structures with lots greater than 25,000 square feet, and industrial structures.

Because neighborhood structures make up 98 percent of the total number of blighted structures in Detroit, the Task Force spent most of its time examining this category. We gathered best practices from other cities that tackled large-scale blight such as Baltimore, New Orleans, and Cleveland and organized it in four major areas of activity:

- Environmental measures
- Deconstruction opportunities
- Demolition needs
- Recycling potential.

78,506 TOTAL STRUCTURES NEEDING INTERVENTION

MOTOR CITY MAPPING CATEGORIES:

NEIGHBORHOOD STRUCTURES

SINGLE-FAMILY
Residential Structures 4 Units or Less (legally defined as single-family)
72,328

MULTI-FAMILY
Residential Structures Over 4 Units (legally defined as multi-family)
707

NEIGHBORHOOD COMMERCIAL
Commercial Structures with lot size smaller than 25,000 square feet
3,904

LARGE-SCALE COMMERCIAL STRUCTURES

LARGE-SCALE COMMERCIAL
Commercial Structures with lot size greater than 25,000 square feet
220

INDUSTRIAL
Industrial Structures with lot size greater than 25,000 square feet
339

ADDITIONAL RESEARCH REQUIRED

INSTITUTIONS
Churches, schools, government offices, libraries, public, religious buildings,
403

UNKNOWN
Buildings with no identifying characteristics, usually ability lacks access - unable to assess.
605

TOTAL STRUCTURES WHICH REQUIRE ADDITIONAL RESEARCH
1,008

Additional Research Required: *At the time of this report, the Task Force was not able to research and propose specific intervention methodologies and funding sources for these structures. The Task Force is willing and prepared to continue conversations with the DLBA to define implementation paths for these structures.*

Detroit requires $850M to address neighborhood blight.

Even with every available source of funding, Detroit faces a shortfall of $400 million.

Without a stable, predictable funding base, all of this is at risk.

GETTING AHEAD. While this report provides a clear, concise plan to remove all of the blight in Detroit, we need to recognize the volume of blighted structures did not happen overnight. Detroit's conditions are the physical result of dire economic and social forces that pulled the city apart over many decades. To really address Detroit's blight we need to identify ways to get ahead of the problem.

There are two areas the Task Force recommends addressing:

- Property tax reform
- Legislative policy reform

Just over 70,500 Detroit properties have been foreclosed through the Wayne County tax foreclosure process from 2009-2013, resulting in $744.8M in lost city property taxes. The city has already begun to take steps to address its property assessment issues. Detroit is about to embark on its first citywide property reassessment in 30 years. We applaud the city's efforts, but the Task Force feels stronger action is needed. Our recommendations focus on promoting a property tax policy that encourages participation and ways to address the properties currently at risk of foreclosure. There are also several legislative policy reforms that, if passed, can be aggressively enforced by the city to reduce blight, scrapping, and the repurchase of tax foreclosed properties.

A SENSE OF URGENCY. Even with anticipated cost savings, process efficiencies, ordinance changes, and enhanced tools and data Detroit will need as much as $850 million just to address neighborhood blight (the majority being residential structures) in the next few years. Addressing the larger-scale industrial sites across the city could add an additional $500 million to $1 billion because of their scale and potential for greater environmental issues than other types of properties.

No city in the country has taken on the scale of blight that Detroit faces, nor have they proposed eradication timelines as aggressive as ours. This presents several challenges and opportunities. The most significant challenge by far is funding. With appropriate funding commitments, Detroit will have the ability to compile data; build technology tools; implement intervention protocols and processes for deconstruction, demolition, recycling, rehabilitation, and lead abatement; create new jobs and train Detroiters; and support investment in recycling centers. Without a stable, predictable funding base, all of this is at risk.

The Task Force feels strongly that Detroit needs to act aggressively to eradicate the blight in as fast a time as possible. Other cities contending with high levels of blight have never addressed more than 7,000 structures a year. At that pace, it would take Detroit more than 11 years to address the 84,641 blighted structures and vacant lots. Even then, merely addressing the existing Blight understates the problem because blight creates more blight. Without swift remedies, blight will continue to spread and expand. Thus, this report proposes a strategy that would eradicate all the blight in Detroit in five years.

THIS IS OUR MOMENT IN TIME.

The Task Force believes we have a unique moment in time when all of the elements needed to implement the comprehensive strategy to recognize the future of every Detroit neighborhood are defined under a shared vision. We hope this strategy provides actionable insight, tools and recommendations that inform the shared vision.

And now for the plan...